above the lowest high as invalidating the pattern. I have not tested this variation, but it might lead to better (or worse) performance.

Breakout direction. The breakout from this pattern is always downward when price closes below the lowest valley in the pattern. An upward breakout (a close above the top of the highest peak) invalidates the three falling peaks pattern.

The figure shows the confirmation price as a horizontal line, drawn from the lowest low. The pattern confirms as a valid pattern when price closes below the line, usually the valley between the second and last peak. If the valley between peaks 1 and 2 marks the lowest low, I would ignore it and use the most recent valley (the one between the second and last peaks) as the confirmation price. That will get you in (to short) or out (of a long holding) sooner than if you wait for price to close below the lowest low set by the first two peaks.

Focus on Failures

Figure 61.3 is the basis of a quiz. Which of the three patterns (A, B, or C) are valid three falling peaks patterns? Let me work right to left, beginning with the C series. Is C1 to C3 a valid three falling peaks pattern? We are looking for three *falling* peaks, and these three are rising. Thus, the C series is not a three falling peaks pattern.

What about B1, B2, and B3? Here we have three peaks, each one below the prior one. B2 and B3 are narrow and B1 seems wide. You might exclude it on that basis alone (I would not because they look fine to me. My reading glasses are around here, somewhere), but there is a much bigger problem. What is it?

Confirmation. The pattern does not confirm because price never closes below the lowest low before climbing above the highest high. The B series of peaks is not a valid three falling peaks pattern.